EXHIBIT E

DIRECT TESTIMONY OF JEFF BAUDIER

ON BEHALF OF PINE JV HOLDINGS, LLC

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BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

JOINT APPLICATION OF PINE JV HOLDINGS LLC AND CLECO POWER LLC FOR AUTHORIZATION FOR THE CHANGE OF OWNERSHIP AND CONTROL OF CLECO POWER LLC AND EXPEDITED TREATMENT	)))))	DOCKET NO. _____

DIRECT TESTIMONY
OF
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ON BEHALF OF
PINE JV HOLDINGS LLC

JUNE 16, 2026

Table of Contents

I. Introduction, background, and qualifications 2

II. Purpose and summary of testimony 5

III. BCP infrastructure and real assets 8

IV. Transaction structure and mechanics 14

V. Post transaction & transition of ownership to Pine JV Holdings 17

VI. Regulatory commitments 20

VII. Specific public interest considerations from 1994 General Order 29

LIST OF EXHIBITS

Exhibit JB-1: Chart depicting the slight differences between the Regulatory Commitments attached hereto and the regulatory commitments attached to Order No. U-33434-A

Exhibit JB-2: Complete set of Pine JV Holdings's Regulatory Commitments

Exhibit JB-3: Redlined version of the regulatory commitments attached to Order No. U-33434-A showing the changes to those commitments reflected in the Regulatory Commitments agreed to by Pine JV Holdings

I. INTRODUCTION, BACKGROUND, AND QUALIFICATIONS

Q: Please state your name, title, and business address.

A: My name is Jeff Baudier. I am a Senior Managing Director at Bernhard Capital Partners Management, LP ("BCP"). My business address is 1100 Poydras Street, Suite 3500, New Orleans, Louisiana 70113.

Q: On whose behalf are you testifying in this proceeding?

A: I am testifying on behalf of Pine JV Holdings LLC ("Pine JV Holdings") in support of this *Joint Application of Pine JV Holdings LLC and Cleco Power LLC for Authorization for the change of ownership and control of Cleco Power LLC and Expedited treatment* ("Joint Application") wherein the parties, Cleco Power LLC ("Cleco Power") and Pine JV Holdings (collectively known as the "Applicants"), request the Louisiana Public Service Commission ("LPSC" or "Commission") to authorize the change of ownership and control of Cleco Power, via the sale, assignment, and transfer of 100% of the issued and outstanding limited liability company interests of Cleco Group LLC (the "Transaction").

Q: Do you have the authority to testify on behalf of Pine JV Holdings?

A: Yes, I have the authority to testify on behalf of Pine JV Holdings.

Q: By whom are you presently employed and in what capacity?

A: I am employed by BCP, as a Senior Managing Director. I work within BCP as a member of the Infrastructure Investment Committee and am involved in all aspects of the firm's investment activities.

Q: Please describe your educational background.

A: I have a Bachelor of Arts degree in English from the University of New Orleans and a Juris Doctor from the Loyola University School of Law in New Orleans.

Q: Please describe your professional experience and responsibilities for BCP.

A: I have over 20 years of experience in the field of public utilities and electric power, including experience with investments in infrastructure and regulated utilities and strategic management. I also have more than 7 years of experience as an attorney with the firms Phelps Dunbar LLP and Jones Walker LLP, where I advised energy industry clients on a full spectrum of corporate and regulatory activities. From 2006 to 2010, I worked in various managerial capacities within NRG Energy, Inc. ("NRG"), including Senior Vice President, President and General Counsel of the South-Central Region, and President and CEO of NRG's affiliate, Louisiana Generating LLC. Notably, at Louisiana Generating LLC, I had executive responsibility for over 4,000 MW of coal- and gas-fired generation assets and wholesale power supply agreements. In 2011, I became CEO of Petra Nova LLC, another affiliate of NRG, where I led the development of the world's largest operating carbon capture facility on a coal-fired power plant. In 2016, I joined Cleco Corporate Holdings LLC ("Cleco Corporate Holdings") where I served as the Chief Marketing and Development Officer and oversaw significant strategic growth efforts, including the $1 billion acquisition of NRG South Central Generating LLC from NRG.

In 2018, I joined BCP and served as a Managing Director for three years. During that time, I regularly took part in investments in infrastructure and regulated utilities. I left BCP in 2021 to serve as the Chief Executive Officer of CORE Electric Cooperative ("CORE"), the largest electric distribution cooperative in Colorado. At CORE, I created and executed on the company's strategy and oversaw its general management, financial stewardship, operation planning and implementation, and board relations. Notably, during my tenure, CORE executed on a state-leading clean energy transition plan by contracting for over 1

GW of renewable and clean natural gas resources, achieving a first-time rating of AA- from Fitch Ratings, and maintained a system availability of 99.98%. I returned to BCP in 2024 and am currently employed as a Senior Managing Director where I serve as a member of the Infrastructure Investment Committee.

Q: Have you ever testified before the LPSC?

A: No, I have not testified before the LPSC prior to this case, but I have represented parties before the LPSC, the Federal Energy Regulatory Commission ("FERC"), and state and federal courts throughout the United States in utility and energy matters. I have also testified before the New Mexico Public Regulation Commission.

Q: What exhibits, if any, are you sponsoring with your testimony?

A: I am attaching a chart depicting the slight differences between the Regulatory Commitments attached hereto and the regulatory commitments attached to Order No. U-33434-A, as **Exhibit JB-1.** Further, I am attaching a complete set of Pine JV Holdings's Regulatory Commitments hereto as **Exhibit JB-2**, and a redlined version of the regulatory commitments attached to Order No. U-33434-A showing the changes to those commitments reflected in the Regulatory Commitments agreed to by Pine JV Holdings is attached hereto as **Exhibit JB-3.**

Q: What additional documents, if any, do you rely upon for your analysis, findings, and observations?

A: I rely upon the Equity Purchase Agreement, attached to Mr. Kupchak's Direct Testimony.

Q: Please describe your role in relation to Cleco Group LLC ("Cleco Group") if the proposed Transaction is approved.

A: If the Transaction is approved, Pine JV Holdings proposes that I will sit on Cleco Group's board post-closing.

II. PURPOSE AND SUMMARY OF TESTIMONY

Q: What is the purpose of your testimony?

A: The purpose of my testimony is to provide an overview of the Transaction and evidence that it would be in the public interest, particularly as it relates to the 18-factor analysis mandated by the Commission's General Order dated March 18, 1994 ("1994 General Order") and the benefits of its accompanying Regulatory Commitments.

Q: How is your testimony structured?

A: In section III, I describe BCP's business philosophy and experience and highlight the benefits that BCP brings to the Transaction. In Section IV, I explain the Transaction's structure and mechanics. In Section V, I explain the transition of ownership from the current ownership group to Pine JV Holdings. In Section VI, I detail the proposed Regulatory Commitments. Finally, in Section VII, I explain why this Transaction is in the public interest, specifically addressing the 18 factors set forth in the 1994 General Order.

Q: What other witnesses are submitting testimony on behalf of Pine JV Holdings?

A: Rob Kupchak, who is a Senior Managing Director at Stonepeak Partners LP ("Stonepeak"), the Head of Core and the Head of Power & Utilities (Americas), will also submit testimony on behalf of Pine JV Holdings in support of the requested approvals.

Q: Please provide a brief overview of the Transaction.

A: The Transaction consists of the sale, assignment, and transfer of 100% of the issued and outstanding limited liability company interests of Cleco Group by Cleco Partners L.P. ("Cleco Partners") to Pine JV Holdings. Functionally, the Transaction replaces the current

ownership and control of Cleco Group with a new group of institutional investors with deep ties to Louisiana looking to expand long-term investment in infrastructure assets. Notably, the Transaction will have no effect on the Commission's jurisdiction over Cleco Group or its subsidiaries and affiliates, including Cleco Power, or their activities. Cleco Group and its subsidiaries and affiliates will largely maintain their existing organization, employees, retail rates, capital structure, and cost structure. Importantly, the acquiring institutional investors are committed to maintaining the local identity of Cleco Power and are well positioned to provide significant contributions to the economic development of Cleco Power's service territory, strengthening Cleco Group as a whole.

Cleco Power will continue to provide safe, reliable, and efficient electric service at reasonable rates, and remain a wholly-owned indirect subsidiary of Cleco Group. Again, the Transaction will not affect the Commission's jurisdiction over Cleco Power or its rates. The Commission will retain all regulatory powers over Cleco Power that it has today, and that power will be enhanced by the proposed Regulatory Commitments discussed in more detail in Section VI. These Regulatory Commitments replicate and update the commitments currently in place for Cleco Group that were established as part of the Commission's approval of the acquisition by Cleco Group's current owners. Accordingly, there will be no impact on customers with respect to the way their individual interactions with Cleco Power take place or otherwise reflected in their rates. In contrast, the proposed Regulatory Commitments will continue to solidify and strengthen Cleco Power's local ties to its service territory, provide additional assurances that Cleco Power remains financially sound, and provide protections to customers and employees beyond those existing today.

Q: Please describe Pine JV Holdings.

A: Pine JV Holdings is a Delaware limited liability company formed solely for the purpose of entering into the Equity Purchase Agreement ("Purchase Agreement") with Cleco Partners, as referenced in the Joint Application, and consummating the transactions contemplated by the Purchase Agreement. Pine JV Holdings has not conducted any activities to date other than activities incidental to its formation and in connection with the transactions contemplated by the Purchase Agreement. Pine JV Holdings's financial sponsors (collectively the "Sponsors") for the Transaction are BCP and Stonepeak and their respective subsidiaries and affiliates (including other Stonepeak and/or BCP managed vehicles). Post-Transaction BCP, and its affiliates, will possess a 25% stake in Pine JV Holdings, and Stonepeak, and its affiliates, will possess a 75% majority stake.

Q: Please describe BCP.

A: BCP is a Delaware limited partnership and private equity management firm headquartered in Baton Rouge, Louisiana, and fully dedicated to investments in infrastructure services and assets. BCP was founded in 2013 and currently has approximately six billion dollars ($6,000,000,000) of assets under management. BCP was founded by Jim Bernhard and Jeff Jenkins, who previously created and led The Shaw Group, which built Cleco Power's Madison 3 generating unit. BCP has significant experience in investing in regulated utilities, including in Louisiana.

BCP's portfolio consists of more than 80 total investments, with its portfolio companies employing around 20,000 individuals. BCP creates long-term sustainable value by leveraging a differentiated investor-operator model rooted in over 38 years of experience building, operating, and investing in critical infrastructure and focused on two complementary strategies: (1) operationally focused middle-market infrastructure services

and (2) value-add infrastructure assets, *i.e.*, regulated utilities. BCP's recent investments in regulated utilities consist of approximately $3 billion spanning multiple acquisitions including the creation of Delta Utilities through carve-outs from incumbent utilities, *i.e.* the acquisition of three regulated natural gas distribution utilities in Louisiana and Mississippi from Centerpoint and the acquisition of Entergy's regulated natural gas distribution utilities in New Orleans and Baton Rouge, and the pending acquisition of New Mexico Gas Company, Inc. from Emera. The members of BCP's investment team are both financial and operational professionals, several of whom have worked with or within regulated electric utilities for many years, and two of whom previously worked at Cleco Corporate Holdings and/or its subsidiaries.

Importantly, the Transaction represents an opportunity to bring Cleco Power ownership back to Louisiana, in many ways tying Cleco Power to Louisiana more than ever before. BCP has enduring ties to Louisiana. BCP was founded and is headquartered in Baton Rouge, Louisiana, has an additional office in New Orleans, Louisiana, employs over 2,000 Louisianians, manages six companies headquartered in Louisiana – Allied Power, Delta Utilities, EPIC, Grace Design Studios, the Lemoine Company, and National Water Infrastructure – and, as of December 31, 2025, has contributed in excess of $1.6 billion in invested capital to Louisiana-based companies since inception. In fact, ninety-eight (98%) of the capital invested by BCP is in companies with a Louisiana presence.

III. BCP INFRASTRUCTURE AND REAL ASSETS

Q: Please describe BCP and the team responsible for the Transaction.

A: As discussed earlier, BCP is a Delaware limited partnership and private equity management firm headquartered in Baton Rouge, Louisiana, and fully dedicated to investments in

infrastructure services and assets. BCP's portfolio consists of more than 80 total investments and around $6 billion in assets under management, with its portfolio companies employing more than 20,000 individuals. The team responsible for the Transaction includes me and individuals who have been intimately involved in BCP's other regulated utility investments, including Delta Utilities, National Water Infrastructure, and New Mexico Gas Company. As discussed above, BCP team member, Jeff Andry, and I were previously employed by Cleco Corporate Holdings and/or its subsidiaries.

Q: Please describe BCP's philosophy with respect to ownership and governance of utilities.

A: BCP creates long-term sustainable value by utilizing a differentiated investor-operator model rooted in over 38 years of experience building, operating, and investing in critical infrastructure. This experience reflects the backgrounds of BCP's founders and senior leadership team, including a number of The Shaw Group's former executive management team members. Founded in 1987, The Shaw Group served as the predecessor platform through which much of this experience was developed prior to BCP's formation in 2013. BCP is focused on two complementary strategies: (1) operationally focused middle-market infrastructure services and (2) value-add infrastructure assets, *i.e.*, regulated utilities. In doing so, BCP has crafted a "Blueprint approach" for all of its investments, including its investments in regulated utilities. Such approach utilizes deep research and operational insight to develop a top-down analysis with the goal of capitalizing on specific trends, growth opportunities, and sector inefficiencies. BCP then implements this Blueprint by working closely with management to reduce costs, better manage capital plan execution, and increase reliability.

Q: Have BCP's funds previously acquired ownership of any other utilities regulated by State Public Service Commissions in the United States?

A: Yes, BCP has invested in several utilities regulated by State Public Service Commissions as well as other United States regulatory bodies, including, but not necessarily limited to: (1) Clear Current; (2) National Water Infrastructure; (3) Delta Utilities; and (4) New Mexico Gas Company.

Q: Have BCP's funds previously acquired ownership of other utilities regulated by the LPSC?

A: Yes, of BCP's active investments, National Water Infrastructure and Delta Utilities are regulated by the LPSC.

Q: Please describe BCP's investment in Clear Current.

A: Clear Current is a water and wastewater utility platform undergoing a regional consolidation of collection and treatment infrastructure in Indiana and North Carolina. BCP invested in 2021 and such investment remains active.

Q: Please describe BCP's investment in National Water Infrastructure.

A: National Water Infrastructure ("NWI") is a private wastewater utility operator providing service throughout Ascension, Livingston, and East Baton Rouge Parishes in Louisiana. NWI is headquartered in Prairieville and is currently undergoing a major infrastructure overhaul in Ascension Parish. BCP invested in 2020 and such investment remains active.

Q: Please describe BCP's investment in Delta Utilities.

A: Delta Utilities is a natural gas utility headquartered in New Orleans, Louisiana. Delta Utilities is a $1.7 billion natural gas utility, ranked among the top 40 natural gas utilities in the United States and serving 600,000 customers in Louisiana and Mississippi. BCP

invested in Delta Utilities in 2025 to acquire Entergy's natural gas distribution companies in New Orleans and Baton Rouge as well as CenterPoint Energy's three regulated natural gas local distribution companies serving communities throughout Louisiana and Mississippi. Such acquisition included approximately 12,000 miles of main pipeline in Louisiana and Mississippi. In April of 2026, Delta Utilities announced its acquisition of Spire Mississippi, a Mississippi natural gas distribution company.

Q: Please describe BCP's investment in New Mexico Gas Company.

A: New Mexico Gas Company is a regulated natural gas utility headquartered in Albuquerque, New Mexico. BCP entered into an agreement to acquire New Mexico Gas Company from Emera in August 2024 for $1.3 billion, which agreement is pending regulatory approval.

Q: Please describe BCP's philosophy in relation to service quality and reliability of the utilities its funds own.

A: BCP endeavors to provide safe and efficient service provided by experienced local management, to provide capital to increase the reliability and resiliency of Cleco Power's transmission and distribution systems, bring additional business and investment into Cleco Power's service territory, and work with management to identify opportunities to drive efficiencies in Cleco Power's business model.

Q: Please describe BCP's philosophy with respect to its relationships with regulators in the jurisdictions where utilities owned by BCP-managed funds operate.

A: BCP strives to not only satisfy but exceed all required performance metrics imposed by regulatory authorities having jurisdiction over such companies, particularly with respect to customer protections and reliability of service. Furthermore, BCP prides itself on being transparent and forthcoming in its dealings, and strives to maintain positive and

constructive relationships with its portfolio company regulators. BCP has a deep appreciation for the value of the regulated model in Louisiana, both from a customer protection standpoint and also as an enabler of economic development.

Q: How does BCP prioritize safety?

A: BCP's roots with The Shaw Group and its long history of investing in utility companies and those who provide services to heavy industry give it a unique awareness of the importance of maintaining a world-class safety culture, which it expects all of its companies to maintain and consistently improve upon.

Q: What is BCP's philosophy with respect to the relationship between its utilities and the communities they serve?

A: BCP's commitment to Louisiana is evident in the investments it has made in its many Louisiana-based portfolio companies. BCP supports and gives back to the communities in which it operates and expects its portfolio companies to do the same.

Q: Why is BCP interested in acquiring Cleco Group?

A: BCP has great respect for Cleco Power and the role it plays in the everyday lives of hundreds of thousands of Louisianans. Cleco Power's profile as a fully regulated, operating electric utility also directly aligns with BCP's mandate as a middle-market services and infrastructure-focused private equity management firm. Moreover, BCP prides itself on its Louisiana roots and significant experience investing in the regulated utility space. In addition, BCP's involvement in the acquisition of Cleco Group brings a meaningful proportion of Louisiana-based ownership to Cleco Group, perhaps to the highest extent in decades.

In addition, BCP's co-investor and majority partner in this Transaction, Stonepeak, brings similarly deep and demonstrated commitments to Louisiana. Stonepeak has made direct, substantial investments in large-scale energy infrastructure projects located in Louisiana, as further described in the direct testimony of Rob Kupchak, these investments collectively reflect billions of dollars of committed capital deployed into Louisiana energy infrastructure and, together with BCP's experience, underscore the Sponsors' strong, long-term commitment to the State of Louisiana.

Q: Why is the Transaction in the best interest of the customers, employees, and communities served by Cleco Power?

A: I will discuss the 18 factors concerning the public interest test in detail, below, but as a general matter, the Transaction will continue to build upon Cleco Power's dedication to safety, reliability, affordability, customer experience, and economic development, all without any rate impacts or reduction in services. Pine JV Holdings is comprised of dedicated, infrastructure investors with a "buy and hold" approach to their investments. Put simply, BCP and Stonepeak are in it for the long haul, and their goal is not only to maintain reliability of service to the customers and communities served by Cleco Power, but to enhance it.

Further, the Transaction would bring local ownership to Cleco Power, with BCP being formed and headquartered in Baton Rouge, Louisiana. BCP is an industry leader in infrastructure development in Louisiana, and it intends to bring the full weight of its experience and expertise in the infrastructure space to benefit Cleco Power and its constituents. Likewise, Stonepeak's vast experience in owning and managing many of the

world's largest infrastructure projects presents the right partnership to steward the next chapter of the company's storied history.

IV. TRANSACTION STRUCTURE AND MECHANICS

Q: Please summarize the major components and steps of the proposed Transaction.

A: On April 24, 2026, Cleco Partners entered into the Purchase Agreement with Pine JV Holdings. Pursuant to this agreement, Pine JV Holdings agreed to purchase all of Cleco Partners's interest in Cleco Group, subject to regulatory approvals. As mentioned, the Purchase Agreement is attached as an exhibit to Mr. Kupchak's testimony. Pine JV Holdings will provide equity funding to Cleco Partners for its interest in Cleco Group. Further, Pine JV Holdings intends for the existing Cleco Corporate Holdings and Cleco Power debt to remain outstanding following the closing of the proposed Transaction. However, Pine JV Holdings's Sponsors have also obtained backstop debt commitments to replace any Cleco Corporate Holdings debt that must be refinanced due to change-of-control provisions in the financial instruments.

Q: Please explain the effects of the proposed Transaction on the liquidity of Cleco Group.

A: The Transaction, if approved by the Commission, will deepen Cleco Group's liquidity. BCP and Stonepeak are both well-equipped to deploy substantial resources, and to raise additional funding, to provide optimal levels of liquidity to Cleco Group, and, by extension, Cleco Power.

Q: Please explain your plan to ensure the financial stability of Cleco Group and Cleco Power.

A: As discussed above, Pine JV Holdings plans to invest in Cleco Power's system and is well-equipped to deploy substantial resources, and to raise additional funding. Further, the

Economic and Financial Regulatory Commitments (Commitment Nos. 18-23) are designed to insulate customers from any financial repercussions stemming from this Transaction such as costs associated with seeking Commission approval of this Transaction. The commitments also provide for maintenance of Cleco Power's investment credit ratings and use of alternative financing strategies in order to ensure the financial stability of the utility.

Q: Will the credit rating of Cleco Power be negatively impacted by the Transaction?

A: No, Cleco Power's credit rating will not be negatively impacted by this Transaction. Cleco Power commits to maintain investment grade credit ratings with two (2) of Moody's Investors Service, Standard & Poor's Ratings Services, or Fitch Ratings and, further, will seek to improve such credit ratings over time. Moreover, Cleco Power will notify the Commission of any changes to its credit rating within five (5) business days of receipt thereof.

Q: Please describe the ring-fencing protections that are part of the proposed Transaction.

A: The proposed Transaction includes various ring-fencing provisions including, but not limited to, the following:

- Cleco Power will maintain separate books, records, and documents.
- Cleco Power will not loan or pledge utility assets to Cleco Corporate Holdings or any of its other subsidiaries or affiliates, without prior Commission approval.
- Cleco Power shall not issue any security for or become liable for another entity's obligations, without the Commission's prior authorization.
- Cleco Power will adopt measures providing for separate financial and accounting treatment for any non-LPSC jurisdictional business activity.
- Pine JV Holdings will provide the Commission with a certificate from an officer of Cleco Power attesting to various provisions, including that Cleco Power shall maintain the requisite legal separateness on an annual basis.

- Pine JV Holdings will implement all ring-fencing and corporate governance measures at the closing of the Transaction.

Q: How will Cleco Power treat affiliate-related costs as a result of the Transaction?

A: Pine JV Holdings agrees that (i) Cleco Power will maintain the Commission-approved, generic cost allocation methodologies used to allocate affiliate-related costs to Cleco Power; (ii) Cleco Power will comply with the Commission's requirements governing affiliate transactions in the Red Simpson[1] order governing Cleco Power; (iii) there will be no cross-subsidization by Cleco Power Commission-jurisdictional customers of unregulated activities, or of the activities of any affiliate, parent, or subsidiary entity; and (iv) Cleco Power will abide by all lawfully adopted Commission requirements regarding the treatment of costs associated with affiliate transactions and the costs of unregulated activities.

Q: Please explain the commitment related to maintaining a minimum equity ratio at Cleco Power.

A: Pine JV Holdings is committed to ensuring a minimum equity ratio at Cleco Power. More specifically, as of the closing of the Transaction, Cleco Power will have a common equity ratio of not less than fifty-two (52) percent, except to the extent such ratio may be changed in the normal and ordinary course of Cleco Power's financing activities, as may be authorized under Cleco Power's blanket financing authority, as granted by the Commission. At all times thereafter, Cleco Power will have a common equity ratio of not less than forty-eight (48) percent, except to the extent a lower common equity ratio is established for ratemaking purposes by the Commission. To the extent Cleco Power's

[1] Red Simpson, Inc. v. Cleco Corporation, Order No. U-24064, dated Nov. 20, 2000 ("Red Simpson").

common equity ratio is less than forty-eight (48) percent, the remedy shall be the implementation of distribution restrictions (*i.e.*, prohibiting any payment of dividends or return of capital, other than for expenses) until such time Cleco Power's common equity ratio is equal to or greater than forty-eight (48) percent.

Q: How would Cleco Power raise capital necessary to fund capital projects under the new ownership structure?

A: Pine JV Holdings's Sponsors are both infrastructure investors with combined assets under management of more than $93 billion. BCP and Stonepeak each possess investment funds and multiple other sources of available capital to fund capital projects for Cleco Power. More specifically, post-Transaction, Cleco Power will continue to fund its capital projects through a blend of debt and equity consistent with its LPSC-approved capital structure, including long-term debt instruments, short-term debt facilities, unrestricted cash reserves, and, as needed, equity injections through the ownership structure. The regulated nature of Cleco Power's business, which structurally supports a fair return of and on capital, is expected to continue to attract both debt and equity capital sufficient to meet Cleco Power's ongoing needs. I discuss the manner of financing in greater detail in my testimony regarding Factor No. 17 of the public interest test.

V. POST TRANSACTION & TRANSITION OF OWNERSHIP TO PINE JV HOLDINGS

Q: Please explain the plan for managing the transition of ownership to Pine JV Holdings.

A: Pine JV Holdings plans to work closely with Cleco Group and Cleco Power management to ensure a smooth and seamless transition of ownership. Given that the ownership change will be upstream of Cleco Power, there should be little to no effect on Cleco Power's employees and customers. Pine JV Holdings intends to deploy a top-down analysis of

Cleco Group's assets, finances, and other business attributes and work closely with management to efficiently manage capital plan execution and increase reliability.

Q: Would Cleco Group and its subsidiaries and affiliates maintain offices in Louisiana?

A: Yes. The corporate headquarters of Cleco Power and its subsidiaries and affiliates will remain in Pineville, Louisiana. Additionally, Cleco Power will maintain its customer call center in Pineville, Louisiana, as well as its customer service offices throughout its footprint, for a minimum of five (5) years. Personnel responsible for managing Cleco Power's generation, transmission, distribution, customer service, storm restoration, and other major functions will continue to be Louisiana-based.

Q: After the Transaction, would Cleco Power continue to be under the jurisdiction of the LPSC?

A: Yes, Cleco Power will continue to be a regulated electric utility subject to the jurisdiction of the LPSC.

Q: Would the LPSC continue to have access to books and records of Cleco Power after the Transaction?

A: Yes, Cleco Group will continue to provide the Commission access to Cleco Power's and Cleco Corporate Holdings's books, records, and documents, as well as any other information required to be accessed by the Commission to verify or examine affiliate transactions of Cleco Power and all activities of Cleco Power that may result in affiliate costs that may be allocable to Cleco Power. Such access will remain available to the Commission to fulfill all of its jurisdictional responsibilities over Cleco Power's rates, charges, service quality, and reliability. The Transaction will not limit the Commission's

existing access or otherwise provide a basis to oppose requests for such books, records, documents, or personnel.

Q: Please explain the expected leadership and governance of Cleco Group and its subsidiaries and affiliates, including Cleco Power, following completion of the Transaction.

A: Pine JV Holdings will adopt a governance structure for Cleco Group and its subsidiaries and affiliates that is consistent with Stonepeak's and BCP's governance philosophies and any applicable Regulatory Commitments which will, among other things, preserve Cleco Power's management's authority and accountability for day-to-day operations. Upon closing of this Transaction, the board of Cleco Group will consist of nine (9) directors. Such board will be largely replicated at Cleco Power. All of these directors will be appointed by Pine JV Holdings, subject to the following requirements: (1) a minimum of four (4) directors of Cleco Group's board must have their principal places of residence in Louisiana, with two (2) of these four (4) being the chairman and Chief Executive Officer; (2) the Chief Executive Officer of Cleco Group must also serve on the boards of Cleco Corporate Holdings and Cleco Power; and (3) at least one (1) director of Cleco Power must be a special independent director.[2] Further, the vote of at least one Louisiana resident director, except the Chief Executive Officer of Cleco Power, will be required for all resolutions of the boards of Cleco Group, Cleco Corporate Holdings, or Cleco Power to be effective. Notably, BCP proposes to appoint me, and Stonepeak proposes to appoint Rob Kupchak, to the board.

[2] In this context, a "special independent director" means someone who is not a member, officer, or employee of Cleco Power, Pine JV Holdings, or any of their affiliates. The purpose of this special independent director is to vote on bankruptcy proceedings.

VI. REGULATORY COMMITMENTS

Q: Explain Pine JV Holdings's philosophy with respect to the Regulatory Commitments attached to the Joint Application.

A: Pine JV Holdings is committed to like-kind ownership. Consequently, the Transaction's Regulatory Commitments are designed to maintain the spirit of those entered by Cleco Partners in Docket No. U-33434, excluding the provisions of Commitments Nos. 19, 25, 69, 72, and 74 in Attachment A to LPSC Order No. U-33434-A. Notably, Pine JV Holdings excluded such provisions because they have become obsolete or were specific to Docket No. U-33434's applicants. Regardless, the Regulatory Commitments contemplated by the current Transaction are substantively identical to those in Attachment A in LPSC Order No. U-33434-A. For its part, BCP, as an entity with strong local ties, is committed to ensuring Cleco Group and its subsidiaries and affiliates continue to perform their regulatory obligations, especially those provisions guaranteeing the Commission's jurisdiction and Cleco Power's local charitable contributions and investments.

Q: How do the Regulatory Commitments in this Transaction differ from those contemplated by the transaction in Docket No. U-33434?

A: As explained above, the Regulatory Commitments proposed by Pine JV Holdings are virtually identical to those attached to Order No. U-33434-A, but for a handful that have become obsolete with the passage of time or performance and/or particular to that docket. As mentioned, I have attached a chart depicting the slight differences between the Regulatory Commitments attached to the Joint Application and the regulatory commitments attached to Order No. U-33434-A, as **Exhibit JB-1.** Further, as discussed, a complete set of Pine JV Holdings's Regulatory Commitments is attached hereto as **Exhibit**

JB-2, and a redlined version of the regulatory commitments attached to Order No. U-33434-A showing the changes to those commitments reflected in the Regulatory Commitments agreed to by Pine JV Holdings is attached hereto as **Exhibit JB-3.**

Q: How would Pine JV Holdings ensure compliance with the Regulatory Commitments set forth in the Joint Application?

A: First, as mentioned earlier, BCP, as a Sponsor of Pine JV Holdings, has an impeccable track record when it comes to regulatory commitments and compliance. BCP and its managed assets have always satisfied their regulatory commitments in connection with acquisitions of public utilities in every jurisdiction in which they operate. This fact alone should give the Commission, and the people of Louisiana, great confidence that the same will be true for Pine JV Holdings and its ownership of Cleco Group and its subsidiaries and affiliates, including Cleco Power.

Second, BCP understands that regulatory commitments included in any Commission order approving the Transaction will be legally binding on the relevant regulated entities. Cleco Group and its subsidiaries and affiliates, namely Cleco Power, are not only exceptional local companies but also have a proven track record when it comes to compliance with the rules and orders of the Commission. Consequently, Pine JV Holdings is heavily incentivized to continue that legacy. Further, to ensure such record is maintained, the board of Pine JV Holdings will require regular reporting from the management of Cleco Group and its subsidiaries and affiliates, including Cleco Power, regarding the status of each commitment.

Finally, BCP understands that non-compliance will adversely affect Cleco Power's performance, reputation, and all those serviced within its territories. BCP fully intends to

ensure compliance, considering such compliance a business and regulatory imperative. BCP as a local entity is committed to ensuring continued and improved service quality to those within Cleco Power's service territory. Relatedly, BCP as an interest holder of Pine JV Holdings is further incentivized to maintain and improve Cleco Power's service performance and reputation and will do so because it is in its business interest to ensure Cleco Power provides its customers with best-in-class service quality.

Q: Please briefly explain the Regulatory Commitments related to enforcement and compliance with current LPSC-issued orders and rules, including rate orders. (Regulatory Commitments 1-5).

A: Pine JV Holdings is seeking approval to acquire ownership of Cleco Power indirectly by acquiring all issued and outstanding limited liability company interests of Cleco Power's indirect parent company, Cleco Group, from Macquarie Asset Management, British Columbia Investment Management Corporation, and Manulife Investment Management. Pine JV Holdings seeks to acquire Cleco Power "as is," subject to Cleco Power's existing formula rate plan, return on equity, retail rates, capital structure, and all other LPSC orders and rules applicable to Cleco Power. Pine JV Holdings acknowledges the Commission's jurisdiction over Cleco Power's retail rates and provision of service and, further, submits to the Commission's jurisdiction over it to the extent such is exercised to enforce obligations imposed by the Regulatory Commitments contemplated by the Transaction. Such Regulatory Commitments affirm that Pine JV Holdings is not requesting the Commission to alter any orders or rules currently affecting Cleco Power. Consequently, the Regulatory Commitments will have no effect on the Commission's current enforcement capabilities or Cleco Power's regulatory compliance.

Q: Please briefly explain the Regulatory Commitments related to organizational and operational continuity at Cleco Power. (Regulatory Commitments 6-15).

A: Pine JV Holdings is committed to maintaining the operational footprint of Cleco Power and continuing the high-quality service it provides to customers across Louisiana. Pine JV Holdings greatly values the collective experience and expertise of Cleco Power's employees and managers. Pine JV Holdings further believes that such employees and managers are an integral part of Cleco Power. Consequently, Pine JV Holdings commits to maintaining Cleco Power's employees and managers necessary to facilitate the continued delivery of Cleco Power's high-quality service to those in its service area.

With respect to employees, Pine JV Holdings endeavors to maintain employee numbers, morale and support throughout the ownership transition process. To that end, the Regulatory Commitments entered by Pine JV Holdings will retain Cleco Power's employee headcount, salaries, and benefit levels pursuant to the Service Quality Program ("SQP") entered into in connection with the Transaction. As described in the direct testimony of Cleco Power witness, Mark Kleehammer, the SQP reflects Cleco Power's ongoing commitment to service quality and reliability, and encompasses specific protections including no net reduction in field personnel, continuation of Cleco Power's on-site line mechanic training program, maintenance of vegetation management funding, and preservation of Cleco Power's customer call center in Pineville, Louisiana. Although the prior SQP authorized by Commission Order No. U-33434-A (April 7, 2016) has technically expired by its terms, Cleco Power has continued to comply with its requirements. A new SQP was proposed and submitted for Commission authorization pursuant to Order No. U-36923 (July 17, 2024), and that request remains pending before the Commission. The

Applicants have committed that Cleco Power will continue to comply with the SQP — as it currently exists and as it may be amended from time to time with the Commission's authorization — for the duration of the Transaction's Regulatory Commitments.

With respect to managers, BCP believes that public utilities operate best when run by experienced local management with knowledge of the region and passion for the people and businesses therein. Accordingly, Pine JV Holdings will endeavor to maintain managerial continuity as much as possible. To that end, the Regulatory Commitments entered into will ensure Cleco Power remains locally managed and operates with its headquarters in Pineville, Louisiana. Further, Pine JV Holdings intends to retain current senior management to the extent such individuals agree to that retention. Presently, Pine JV Holdings does not anticipate requiring any material post-Transaction changes to management, strategy, operations, or capital structure.

In addition, Pine JV Holdings will continue the charitable legacy of Cleco Group and its subsidiaries and affiliates. To that end, the Regulatory Commitments entered into ensure that Pine JV Holdings will maintain or increase Cleco Group's existing levels of corporate contributions and community support in Louisiana and maintain a level of economic development funding consistent with current practices.

Q: Please briefly explain the Regulatory Commitments related to the management of Cleco Group and Cleco Power. (Regulatory Commitments 16 and 17).

A: As mentioned above, BCP believes that public utilities operate best when run by experienced local management with knowledge of the region and passion for the people and businesses therein. Accordingly, Pine JV Holdings has adopted the same local residency requirements contained in Docket No. U-33434's transaction. That is, the

Regulatory Commitments entered into ensure that Cleco Group's Chief Executive Officer, Cleco Power's operations senior management, and corporate functions senior management all have their principal place of residence in Louisiana. Further, such commitments require Cleco Group to maintain a minimum of four board directors with their principal place of residence in Louisiana, with one of the four being the chairman of the board and another the Chief Executive Officer. Notably, the Chief Executive Officer of Cleco Group must also serve on the boards of Cleco Corporate Holdings and Cleco Power, and the vote of at least one Louisiana resident, except the Chief Executive Officer of Cleco Power, will be required for all resolutions of the boards of Cleco Group, Cleco Corporate Holdings or Cleco Power to be effective.

Q: Please briefly explain the Regulatory Commitments related to the economics and financing of the transaction. (Regulatory Commitments 18-23).

A: The Regulatory Commitments related to economics and financing largely mirror those attached to Order No. Docket No. U-33434-A; however, such provisions exclude original commitments 19 and 25 which provided rate credits to be flowed back to ratepayers in a manner dictated by the Commission. As explained more thoroughly, below, the Transaction will result in "no harm" to Cleco Power's customers, employees, or the communities it serves, at a minimum, as required by the 1994 General Order. The Transaction will also provide net benefits to all of Cleco Power's constituents, therefore, Pine JV Holdings does not believe that rate credits are appropriate for inclusion as a commitment. Further, and regardless of the excluded rate credit provisions, the Regulatory Commitments related to the economics and financing of the Transaction, like those of Docket No. U-33434, provide extensive protections and benefits to Cleco Power and its ratepayers.

Q: Explain the Commitments related to ring-fencing and inter-affiliate accounting and conduct. (Regulatory Commitments 24-45).

A: The Regulatory Commitments related to ring-fencing and inter-affiliate accounting and conduct are substantively identical to those attached to Order No. U-33434-A. Consequently, such commitments insulate Cleco Power and its customers from the financial activities of Cleco Group and its other subsidiaries and affiliates. Pursuant to such commitments, Pine JV Holdings will provide the Commission with access to books, records and documents necessary for oversight of affiliate transactions, provide notice to the Commission regarding corporate structure changes and their effect on its subsidiaries and affiliates, and prevent Cleco Power from loaning or pledging utility assets to Cleco Group and its subsidiaries and affiliates without Commission approval. Further, the Commission will retain the authority to disallow rate recovery of unsupported or unreasonable costs incurred by Cleco Power's non-regulated affiliates, and Cleco Power will continue to be prohibited from initiating bankruptcy proceedings without the unanimous consent of its board members and the special independent director. Such Regulatory Commitments will continue to ensure separate financial and accounting treatment for non-regulated commercial activity and guarantee that Cleco Power's regulated utility operations are isolated from any potential effects associated with the new ownership structure.

Q: Please briefly explain the Regulatory Commitments related to Cleco Power's capital structure and distributions after the Transaction. (Regulatory Commitments 46-57).

A: The Regulatory Commitments related to Cleco Power's capital structure and distributions post-Transaction remain functionally identical to those attached to Order No. U-33434-A.

Accordingly, post-Transaction, Cleco Power will have a common equity ratio of not less than 48%, except to the extent a lower common equity ratio is established for ratemaking purposes by the Commission. Further, Cleco Power will institute a distribution blocker which will prohibit any distribution if, on the date of such distribution, its credit or issuer ratings fall below investment grade with at least two (2) ratings services. Although it will be permitted to make distributions to service debt at Cleco Corporate Holdings under certain circumstances, Cleco Power will have a common equity ratio of 40% or greater at all times, unless a new lower common equity ratio for ratemaking purposes is established by the Commission. Further, Cleco Power will not declare distributions unless the minimum common equity ratio is satisfied. Such commitments, like their predecessor, demonstrate Pine JV Holdings's commitment to ensuring Cleco Power retains sufficient capital to address its on-going operating needs and maintain its investment grade credit and/or issuer ratings.

Q: Please briefly explain the Regulatory Commitments related to change of control of Cleco Power. (Regulatory Commitments 58 and 59).

A: The Regulatory Commitments related to change of control similarly retain the spirit of those commitments attached to Order No. U-33434-A. Pursuant to such commitments, Pine JV Holdings has committed to ensuring Cleco Power seeks prior authorization from the Commission for any direct or indirect transfers of ownership or control in compliance with the 1994 General Order. Further, Pine JV Holdings has committed to ensuring that it, along with Cleco Group and its subsidiaries and affiliates, similarly seeks Commission approval for certain transfers of interests in Cleco Power and Cleco Corporate Holdings consistent with the intent of the provisions of Commitment No. 60 in Attachment A to LPSC Order

No. U-33434-A. Pine JV Holdings has further committed to ensuring that any proposed transferee of such control shall accept and be subject to the ongoing and applicable commitments contemplated by these Regulatory Commitments and acknowledge that such changes of control are subject to prior authorization of the Commission. Finally, Pine JV Holdings and BCP, as one of its stakeholders, will similarly seek prior authorization from the Commission for any change of control in them or their subsidiaries and affiliates.

Q: Please briefly explain how Cleco Power would report to the Commission with respect to its compliance with the Regulatory Commitments after the Transaction. (Regulatory Commitments 60-68).

A: The Regulatory Commitments concerning Commission-related reporting requirements are substantively identical to those attached to Order No. U-33434-A, excluding the provisions contained in Commitment No. 69 in Attachment A to LPSC Order No. U-33434-A. Notably, that commitment imposed ongoing reporting obligations on that docket's applicants tied to the consolidated lawsuits entitled *Moore v. Macquarie Infrastructure et. al.*, Nos 251, 417, 251, 451, and 251,515 (Ninth J.D.C., Parish of Rapides). Pursuant to such Regulatory Commitments, Pine JV Holdings will ensure Cleco Power files an annual compliance report with the LPSC listing each Regulatory Commitment and indicating its compliance or non-compliance with each. In the event of non-compliance, Pine JV Holdings will ensure that Cleco Power provides an explanation and corrective plan.

Q: Please briefly explain any remaining Regulatory Commitments related to the Transaction (Regulatory Commitments 69-73).

A: The remaining Regulatory Commitments related to the Transaction are substantively identical to Commitment Nos. 71-73, and 75-77 in Attachment A to LPSC Order No. U-

33434-A. The provisions of Commitment No. 74 from that docket was excluded because it dealt with that transaction's rate credit provisions.

Q: Are there any other changes to the Regulatory Commitments attached to Order No. U-33434-A?

A: Yes. We have made minor updates regarding certain matters that have become obsolete, such as revising LPSC docket numbers to reflect more recent, applicable orders, including orders regarding securitization. All of these minor edits are shown in the redlined version of the regulatory commitments attached to Order No. U-33434-A, in **Exhibit JB-3** attached hereto.

VII. SPECIFIC PUBLIC INTEREST CONSIDERATIONS FROM 1994 GENERAL ORDER

Q: Do you believe that the Transaction meets the criteria for LPSC approval established by the 1994 General Order?

A: Yes, and I will address each of the 18 factors mandated by the 1994 General Order to demonstrate how the Transaction is in the public interest.

Q: Is the Transaction in the public interest (Factor No. 1)?

A: Yes. As discussed by me and the other witnesses in support of the Joint Application, the Transaction is in the public interest because Cleco Power's service will be unaffected; the Transaction will result in a "no harm" change of control. That is, Cleco Power will continue to provide the same high-quality service safely and efficiently to its customers at the same reasonable rates. Further, none of Cleco Group's subsidiaries or affiliates will be harmed by the Transaction. Instead, such entities, including Cleco Power, only stand to benefit from additional capital resources and increased local ownership. Moreover, the Commission will retain jurisdiction and oversight of Cleco Power to the same degree it does presently, and

Pine JV Holdings will be subject to the same terms consented to by the previous owners of Cleco Power in Docket No. U-33434.

Significantly, the Transaction, if approved, will only serve to strengthen Cleco Group's local identity and maintain or improve the quality of Cleco Power's service. As alluded to throughout this testimony, BCP, as a locally headquartered entity with a 25% stake in Pine JV Holdings, will serve as a zealous advocate for the people and entities within Cleco Power's service territory and ensure their concerns are always heard. Further, Pine JV Holdings with its significant capital resources and the years of collective experience owning and operating infrastructure services and assets of its stakeholders, will assuredly facilitate Cleco Power's continuing operational excellence. In many ways, the Transaction represents a continuation of the significant commitments entered into in Docket No. U-33434. In other words, the proven benefits of that prior transaction will persist throughout the new ownership, including those provisions regarding ring-fencing protections, bankruptcy protections, and local contributions.

In sum, the Transaction will truly be a like-kind transfer of ownership without negative consequences for Cleco Power's employees or ratepayers. Pine JV Holdings has committed to ensuring that Cleco Power remains locally managed and operated with its headquarters in Pineville, Louisiana, retaining employee staffing and compensation and benefit levels, and continuing to submit to the jurisdiction of the Commission. Taken together, the Regulatory Commitments ensure that the Transaction, like that in Docket No. U-33434, is consistent with the public interest under the Commission's 1994 General Order.

Q: Is Pine JV Holdings ready, willing and able to continue providing safe, reliable and adequate service to Cleco Power's ratepayers (Factor No. 2)?

A: Yes. Pine JV Holdings's Sponsors brings years of sophisticated experience in infrastructure services and asset investments, including managerial and regulatory experience. More specifically, Pine JV Holdings, through its Sponsors BCP and Stonepeak, has a strong track record when it comes to regulatory compliance and the provision of safe and reliable electric service. Accordingly, there is no reason to doubt that Pine JV Holdings will ensure Cleco Power continues to offer safe and reliable high-quality service, especially given BCP's strong local ties and the proven Regulatory Commitments.

Q: Would the Transaction maintain or improve the financial condition of Cleco Power (Factor No. 3)?

A: The Transaction, if anything, will improve the financial condition of Cleco Power. First, notwithstanding the contemporaneous ratemaking proposal scheduled to be filed on or before June 30, 2026, the Transaction will maintain the existing rate structure of Cleco Power. Second, several of the Regulatory Commitments entered into by Pine JV Holdings are designed, and proven, to ensure that Cleco Power's financial condition will not materially change as a result of the Transaction. Like the transaction approved in Docket No. U-33434, Pine JV Holdings has committed to ensuring Cleco Power maintains investment grade credit and/or issuer ratings from several national credit rating agencies and, further, endeavors to improve such credit ratings over time. Third, the various Regulatory Commitments regarding rate stability, ring-fencing and financial separation requirements (*i.e.*, bankruptcy protections) protect ratepayers and preserve Cleco Power's service quality and operations. Taken together, all of the above demonstrate that the financial condition and stability of Cleco Power as a public utility is, if anything, positioned for long-term improvement. In sum, the Transaction represents an opportunity to increase

local ownership via BCP and improve the capital structure of Cleco Power, further building on the utility's historic local legacy.

With respect to investment structure and access to additional capital, the New Owners are well-positioned to support Cleco Power's long-term capital needs. Capital commitments from BCP's limited partners — which will be comprised of institutional investors such as pension funds and other long-term capital allocators — are binding and callable upon notice, ensuring that committed equity is reliably available to support investments when needed. Stonepeak's investment in Pine JV Holdings is made through Stonepeak's Core Infrastructure strategy, an open-ended infrastructure strategy as further described in the direct testimony of Rob Kupchak. Taken together, the investment structures of BCP and Stonepeak provide Cleco Power with access to patient, long-term capital from two experienced infrastructure owners whose fund structures are designed — and whose investors expressly expect — that commitments will be honored over multi-year investment cycles. As Cleco Power enters a significant reinvestment period requiring sustained capital deployment across generation, transmission, distribution, and storm hardening, Pine JV Holdings and the Sponsors are appropriately structured to support those needs.

Q: Would the proposed Transaction maintain or improve the quality of service to Cleco Power's ratepayers (Factor No. 4)?

A: Yes. As mentioned throughout my testimony, particularly Factor No. 2, the Transaction is structured around like kind ownership and designed to maintain and improve Cleco Power's service to ratepayers. Further, BCP's local ties, the collective experience of Pine JV Holdings's stakeholders, and the proven architecture of the Commission's previously

established Regulatory Commitments all demonstrate that the Transaction will assuredly maintain and improve Cleco Power's service.

Q: Would the Transaction provide net benefits to ratepayers in both the short term and long term and provide a ratemaking method that would ensure, to the fullest extent possible, that ratepayers receive the forecasted short-term and long-term benefits (Factor No. 5)?

A: As mentioned throughout my testimony, the Transaction is largely a like-kind acquisition meaning it merely represents a transition in the upstream ownership of Cleco Power. The significant exception to this is the introduction of considerable local ownership, namely BCP, who will acquire a 25% ownership interest in Pine JV Holdings post-transaction. The Transaction also brings the benefits of Stonepeak's substantial investment experience involving large infrastructure and energy projects in Louisiana to Cleco Power. Accordingly, while Cleco Power, like Cleco Group's other subsidiaries and affiliates, will largely maintain its current organization, employees, rates, capital structure, and cost structure, Cleco Power and those other entities will gain the additional benefit of a new stakeholder with strong local ties. Consequently, once the Transaction is complete, Cleco Power will be more connected to the people of Louisiana and continue to provide the same safe and reliable high-quality service that it does today.

Also, as previously mentioned, the Sponsors of Pine JV Holdings will use their vast and nimble financial capacity to benefit Cleco Power. Access to readily available capital will be crucial to Cleco Power's future. Louisiana is experiencing an industrial renaissance, with data centers, large chemical plants, and steel mills being constructed throughout the state. Cleco Power will need additional resources to keep pace with this unprecedented

level of development or risk falling behind. Pine JV Holdings can provide the capital at reasonable prices to meet Cleco Power's needs, thereby benefiting its ratepayers by growing the customer base to spread fixed costs more widely.

It is also important to note that the proven structure of the Regulatory Commitments that are part and parcel of the Transaction demonstrably anchor the continuity of Cleco Power's high-quality service organizationally, operationally, and managerially. Such benefits include significant local commitments that will ensure the maintenance of Cleco Power's headquarters in Pineville, Louisiana, continuation of local residency requirements for executive management, and continuation of local residency requirements for at least four board members – including the Chief Executive Officer. Other notable benefits include the maintenance of existing employee and retirement benefit plans and the maintenance of existing charitable and economic development contributions. Taken together, these Regulatory Commitments will, and indeed have proven to, strengthen local ties, guarantee a customer-focused service approach, and otherwise have significant positive impacts on Louisiana.

Regarding ratemaking, Cleco Power's rates are and will continue to be regulated by the LPSC post-Transaction. As I have stated multiple times throughout my testimony, the Transaction will not impact the Commission's jurisdiction over Cleco Power. Further, like the transaction approved in Docket No. U-33434, Pine JV Holdings, its interest holders, and Cleco Group and its subsidiaries and affiliates have all submitted to the jurisdiction of the Commission to the extent such jurisdiction is exercised to enforce the obligations imposed by the Regulatory Commitments, and, in such circumstances, waived objections based upon jurisdiction and venue in Louisiana State Court. Finally, to the extent Cleco

Power's formula rate plan remains in place or is otherwise unaffected by the contemporaneous rate case, Cleco Power's current formula rate plan will remain in force post-Transaction. Also, importantly, there will be no rate recovery, directly or indirectly, by Cleco Power of legal and financial advisory fees associated with the Transaction, no rate recovery of the acquisition premium, no rate recovery of regulatory costs, and no rate recovery of any executive change of control or severance compensation of any kind, including medical obligations, as a result of the Transaction. Consequently, the Transaction will not affect Cleco Power's retail rates, charges, or collections.

Q: Would the Transaction adversely affect competition (Factor No. 6)?

A: No. The Transaction will not adversely affect competition because the Transaction, like the one in Docket No. U-33434, will not result in a merger of utility companies that are competing against each other in the Louisiana electric utility services market. Rather, this is largely a like-kind transfer of ownership and will only affect upstream ownership of Cleco Power.

Q: Would the Transaction maintain or improve the quality of management of Cleco Power (Factor No. 7)?

A: Yes. As discussed previously, the managerial structure and makeup of Cleco Power will not be adversely affected as a result of the Transaction. This continuity will at a minimum maintain, and most likely will improve, the quality of Cleco Power's management. Moreover, and as discussed above, Pine JV Holdings proposes that Mr. Kupchak and I will become members of the board, post-Transaction, thereby bringing our significant experience, knowledge, and talents in infrastructure management and development to work for Cleco Power's customers.

Q: Would the Transaction be fair and reasonable to Cleco Power's employees (Factor No. 8)?

A: Yes. The Regulatory Commitments entered into by Pine JV Holdings provide assurances that Cleco Power and Cleco Support Group will maintain employee headcount, salaries, and benefits substantially consistent with or higher than current levels in the aggregate across Cleco Power and Cleco Support Group for at least ten (10) years following closing of the Transaction. Additionally, such Commitments guarantee that there will be no adverse material change in Cleco Power's pension plan, pension design, or in current benefits for retiree medical plan participants for at least ten (10) years.

Q: Would the Transaction be fair and reasonable to the majority of all affected Cleco Power shareholders (Factor No. 9)?

A: Yes, the purchase price agreed to between Pine JV Holdings and Cleco Partners is mutually agreeable and, by extension, fair and reasonable to Cleco Group's current shareholders. Additionally, all director, manager, and officer rights to indemnification, expense advancement, and exculpation for actions or omissions which occurred prior to closing shall survive. Cleco Group and its subsidiaries will also obtain comparable liability insurance for all of their directors and officers for a period of six (6) years, providing coverage comparable to that enjoyed by these persons prior to closing.

Q: Would the Transaction be beneficial on an overall basis to the state and local economies and to the communities in the area served by Cleco Power (Factor No. 10)?

A: Yes. As I have described, the Transaction would strengthen Cleco Power's local ties to Louisiana, through BCP's 25% ownership interest in Pine JV Holdings, Stonepeak's significant Louisiana-based infrastructure investment experience, and other commitments.

Such commitments will be beneficial to the state, local communities, and Cleco Power's service territory, and include, but are not limited to the following:

- Cleco Power and Cleco Corporate Holdings will both remain Louisiana-based, with their corporate headquarters in Pineville, Louisiana.
- A minimum of four (4) directors of Cleco Group's board must have their principal places of residence in Louisiana, with two (2) of these four (4) being the chairman and Chief Executive Officer.
- The Chief Executive Officer of Cleco Group must also serve on the boards of Cleco Corporate Holdings and Cleco Power.
- Cleco Power and Cleco Corporate Holdings will maintain or increase the existing level of corporate contributions and community support in Louisiana, which may include the establishment of a charitable foundation to make charitable contributions within Louisiana consistent with Cleco Power's and Cleco Corporate Holdings's current practices.
- Cleco Power and Cleco Corporate Holdings will maintain a level of economic development funding consistent with current practices as well as make a one-time contribution to a fund administered by the Louisiana Department of Economic Development or other public interest entity acceptable to the Commission.
- Cleco Power and Cleco Support Group will maintain employee headcount, salaries, and benefits substantially consistent with or higher than current levels in the aggregate.
- There will be no adverse material change in Cleco Power's pension plans, pension design or current benefits for retiree medical plans for at least ten (10) years.

These commitments place Cleco Power in a position to be a driver of economic growth within its service territory, specifically when coupled with Cleco Power's ninety (90) year history as a regulated utility and the financial strength, practical experience, and know-how of Pine JV Holdings's members.

Q: Would the Transaction preserve the jurisdiction of the Commission and the ability of the Commission to effectively regulate and audit Cleco Power's operations in the state (Factor No. 11)?

A: Yes. This Transaction will have no effect on the LPSC's jurisdiction. Cleco Power will remain a regulated electric utility subject to the jurisdiction of the LPSC, just as it is now. Further, all existing orders issued by the Commission with respect to Cleco Power will remain unmodified and otherwise unaffected by the Transaction. Moreover, in conformity with its obligations as a regulated utility and pursuant to LPSC-authorized tariffs, Cleco Power will continue to provide safe, reliable, and efficient electric utility service at reasonable rates.

Q: Would conditions be necessary to prevent adverse consequences from the Transaction (Factor No. 12)?

A: The Transaction contemplates a number of Regulatory Commitments designed and proven by Docket No. U-33434 to ensure the Transaction is in the public interest. Further, Pine JV Holdings expects these commitments to be included in any final LPSC order authorizing the Transaction. The Regulatory Commitments are comprehensive and protect Cleco Power's customers and constituents from practically any conceivable adverse effect of the Transaction. Consequently, neither entity believes that any additional conditions are necessary to prevent adverse consequences or otherwise satisfy the public interest.

Q: What is the history of compliance or noncompliance of Pine JV Holdings and affiliated entities with regulatory authorities in this state or other jurisdictions (Factor No. 13)?

A: Pine JV Holdings is made up of experienced infrastructure investors who have a wealth of experience investing in regulated utilities and an impeccable history of regulatory compliance. As discussed earlier, BCP's portfolio is comprised of more than 80 capital investments and approximately $6 billion in assets under management, notably including approximately $3 billion in recent investments in regulated utilities. At the same time, Stonepeak has made 37 investments with a total enterprise value of over $170 billion, including crude, gas and product pipelines, LNG liquefaction, transportation and regassification, district energy, power plants and utilities in the energy sector, alone. Stonepeak has also invested tens of millions of dollars in energy projects in Louisiana. BCP's and Stonepeak's investment track records demonstrate that Pine JV Holdings will provide value to Cleco Group and be able to comply with all rules and regulations of the Commission and other regulatory authorities.

Additionally, as Mr. Kupchak testifies, Stonepeak's board involvement will include oversight of LPSC and FERC compliance, rate case filings, enforcing regulatory and service-quality commitments, environmental compliance, sustainability matters, workforce stability, customer impacts, and community commitments. Stonepeak would implement this oversight through regular board reporting and working closely with Cleco Power's management. Additionally, Stonepeak's portfolio operations team includes a specialized group that focuses on finding and retaining talent and can assist Cleco Power

with management structure, succession planning, compensation design, and talent acquisition.

Q: Would Pine JV Holdings have the financial ability to operate Cleco Power's system and maintain or upgrade the quality of the physical system (Factor No. 14)?

A: Yes. As previously noted, post-Transaction Pine JV Holdings will be controlled by BCP which has approximately $6 billion in assets under management and Stonepeak which has more than $87 billion in assets under management. Meanwhile, both BCP and Stonepeak have access to substantial amounts of additional capital at reasonable prices. Consequently, Pine JV Holdings is financially sound and will be managed by prudent, long-tern infrastructure owners with the requisite resources, track record, and experience, thereby ensuring that Cleco Power will continue to operate safely, efficiently, and reliably. In addition, the Applicants have proposed various Regulatory Commitments that further ensure Cleco Power will remain financially sound and able to provide safe, efficient, and reliable service within its service territory.

Q: What repairs and/or improvements are required and what is the ability of Pine JV Holdings to make those repairs and/or improvements (Factor No. 15)?

A: With respect to the capability to make repairs and improvements, as discussed throughout my testimony, Pine JV Holdings is comprised of financially sound, prudent, long-term infrastructure owners with the resources and experience to ensure that Cleco Power is able to operate safely, efficiently, and reliably in order to better serve Louisianans, which includes making repairs and improvements according to prudent utility practices and as approved by the Commission.

Q: What is the ability of Pine JV Holdings to obtain all necessary health, safety, and other permits (Factor No. 16)?

A: Pine JV Holdings is well equipped to obtain all necessary health, safety, and other permits. Cleco Group has confirmed that, since January 1, 2023 to present, Cleco Group and its subsidiaries have complied with all permits required under applicable law for the operation of its business as conducted. All required legal, regulatory, environmental, and governmental permits are in full force and effect in accordance with applicable laws. All applications or notices required to have been filed for the renewal or extensions of said permits have been timely filed with the appropriate governmental authority, and to the best of Pine JV Holdings's knowledge, there are no pending, or threatened proceedings or orders which would reasonably be expected to cancel, suspend, terminate, restrict, or modify any environmental, legal, regulatory, or governmental permits. Pine JV Holdings has also committed to submit all necessary filings with the appropriate governmental authorities to fully consummate all of its obligations within the Transaction.

Q: What is the manner of financing the Transaction and what impact might that have on encumbering the assets of Cleco Power and the potential impact on rates (Factor No. 17)?

A. As I mention in my testimony, Pine JV Holdings's Sponsors are long-term infrastructure investors with ready access to significant sources of capital. Pine JV Holdings's Sponsors will finance the Transaction utilizing funds and investments under their management and control. Pine JV Holdings's financial Sponsors for this Transaction are BCP and Stonepeak, as well as their respective subsidiaries and affiliates. The Sponsors' investments will be made from investment funds and vehicles that they manage and control, which are

capitalized by their respective limited partners. These limited partners are large institutional investors, such as public and private pension funds, college endowments, insurance companies, and other investment groups with extensive experience investing in infrastructure and utility investment vehicles such as those managed by BCP and Stonepeak. Each such limited partner is contractually obligated to fund its capital commitments to the fund within a short period following the issuance of a capital call notice by the applicable general partner.

Pine JV Holdings intends to fund the Transaction through a combination of new equity contributions from the Sponsors. As discussed in my testimony, the Transaction will result in an upstream change of ownership and control that will be virtually imperceptible to Cleco Power's ratepayers. It is not contemplated at this time that any of Cleco Power's assets will be encumbered as a result of the Transaction, nor are rates expected to change as a result of the Transaction or the manner in which it is financed.

Going forward, the total sources of funding available to Cleco Power will be a blend of debt and equity consistent with the LPSC-approved capital structure currently in place, inclusive of long-term note facilities, a revolving credit facility, utilization of unrestricted cash reserves, and injections of capital to Cleco Power through the ownership structure. The regulated nature of the business, which structurally supports a fair return of and on capital, is expected to continue to attract both debt and equity capital to the business sufficient to accommodate Cleco Power's needs.

Q: What conditions should be attached to the proposed Transaction (Factor No. 18)?

A: As discussed above, additional conditions are not necessary to prevent adverse consequences of the proposed Transaction. The Joint Application, supporting testimony,

and proposed Regulatory Commitments demonstrate that the Transaction is consistent with and proven to serve the public interest as required by the LPSC's 1994 General Order; therefore, there is no need for the Commission to attach any additional conditions to this Transaction.

Q: Does this conclude your direct testimony?

A: Yes.

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

JOINT APPLICATION OF PINE JV HOLDINGS LLC AND CLECO POWER LLC FOR AUTHORIZATION FOR THE CHANGE OF OWNERSHIP AND CONTROL OF CLECO POWER LLC AND EXPEDITED TREATMENT	)))))	DOCKET NO. _____

AFFIDAVIT OF JEFF BAUDIER

Jeff Baudier, being first duly sworn, on his oath states:

1. My name is Jeff Baudier. I am a Senior Managing Director at Bernhard Capital Partners Management, LP, having its principal place of business at 1100 Poydras Street, Suite 3500, New Orleans, Louisiana 70113. Further, I have been given authority by BCP to testify in this proceeding on its behalf.

2. Attached hereto and made a part hereof for all purposes are my direct testimony and accompanying documents, relied upon for my analysis, findings, and observations contained therein, prepared in written form for introduction into evidence in the above-captioned proceeding.

3. I hereby swear and affirm that the testimony and accompanying documents are true and correct and that they show the matters and things that they purport to show.

Jeff Baudier

SWORN TO AND SUBSCRIBED, Before Me, Notary Public on this 15th day of June 2026 in New Orleans, Louisiana.

Printed Name: Lauren R. Casey
Notary Public
ID/Bar Roll No: 33522
My commission expires: Upon death